

SoP2/23 - Operating the Small Domestic Deposit Taker (SDDT) regime

Effective Date: 03-03-2026

Source: <https://www.prarulebook.co.uk/guidance/statements-of-policy/sop---operating-the-small-domestic-deposit-taker-sddt-regime/03-03-2026>

Type: Statement of Policy

Scraped: 2026-03-02 22:32

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Statement of policy 2/23

First published on 5 December 2023

This statement of policy (SoP) sets out the PRA's approach to operating the Small Domestic Deposit Taker (SDDT) regime. It covers:

- how UK banks and building societies ('firms') that meet the SDDT criteria, and CRR consolidation entities that meet the SDDT consolidation criteria can access the SDDT Regime;
- how firms and CRR consolidation entities that are part of groups based outside of the UK could access the SDDT regime;
- how firms and consolidation entities will be treated in the case of a merger, acquisition, a disposal of entities or activities, or similar circumstances;

- how firms that cease to meet the SDDT criteria, and consolidation entities that cease to meet the SDDT consolidation criteria, will transition out of the SDDT regime; and
- the PRA's approach to reviewing the SDDT criteria.

This SoP should be of interest to PRA-authorised banks and building societies and to CRR consolidation entities, as well as to entities prospectively interested in, or currently applying for, authorisation as a deposit-taker. It should be of particular interest to firms that meet the SDDT criteria and CRR consolidation entities that meet the SDDT consolidation criteria, and to firms and CRR consolidation entities wishing to be treated in the same way as those that meet the criteria.

Current version

Confirmed as final in January 2026, following near-final future version published in October 2025. Effective from 20 January 2026.

- [SoP2/23 – Small Domestic Deposit Taker \(SDDT\) regime - January 2026 \(pdf\)](#)

Confirmed final by [PS4/26 – The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers \(SDDTs\) – final](#).
First published as near-final as part of [PS20/25 – The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers \(SDDTs\) – near-final](#).

Past version

Published 12 December 2023. Effective from 1 January 2024 (superseded on 20 January 2026 by January 2026 version).

- [Statement of policy 2/23 - Operating the SDDT regime - December 2023 \(PDF\)](#)
- - Following [PS15/23 – The Strong and Simple Framework: Scope Criteria, Liquidity and Disclosure Requirements](#)

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